

## Freight Profit Analysis — Detailed Breakdown

**Shipment:** Matheus Reis (Ilhéus, Brazil) → Kirsten Ritschel (San Francisco, CA)

**Date:** Manifest 4/6/2026 · **Total Weight:** 375.08 kg · **Pallet:** 100×120×100 cm

### SECTION 1: PAYLOAD BREAKDOWN

#### 1a. Line-by-Line Inventory

| #  | Item                                       | Qty | Unit Wt (kg) | Total Wt (kg) | Ledger | Est. Retail \$/unit | Total Retail |
|----|--------------------------------------------|-----|--------------|---------------|--------|---------------------|--------------|
| 1  | 8 oz Cacao Nibs Kraft Pouch                | 137 | 0.227        | 31.07         | Main   | \$25.00             | \$3,425.00   |
| 2  | Cacao Husk (KG)                            | 20  | 1.000        | 20.00         | Main   | \$10.00             | \$200.00     |
| 3  | Cacao Mass Bar (500g)                      | 38  | 0.500        | 19.00         | Main   | \$25.00             | \$950.00     |
| 4  | Cacao Nibs (KG)                            | 80  | 1.000        | 80.00         | Main   | \$110.00            | \$8,800.00   |
| 5  | Cacao Almonds (KG) [AGL8]                  | 10  | 1.000        | 10.00         | AGL8   | \$125.00            | \$1,250.00   |
| 6  | Cacao Tea (KG) [AGL8]                      | 12  | 0.001        | 0.01          | AGL8   | \$10.00             | \$120.00     |
| 7  | Ceremonial Cacao Pouch 200g (Paulo) [AGL8] | 170 | 0.200        | 34.00         | AGL8   | \$25.00             | \$4,250.00   |
| 8  | Cacao Almonds KG (Vivi) [AGL13]            | 15  | 1.000        | 15.00         | AGL13  | \$125.00            | \$1,875.00   |
| 9  | Cacao Nibs (KG) Santos [AGL13]             | 100 | 1.000        | 100.00        | AGL13  | \$110.00            | \$11,000.00  |
| 10 | Cacao Tea (KG) Santos [AGL13]              | 21  | 1.000        | 21.00         | AGL13  | \$10.00             | \$210.00     |

| #  | Item                             | Qty        | Unit Wt (kg) | Total Wt (kg)    | Ledger | Est. Retail \$/unit | Total Retail       |
|----|----------------------------------|------------|--------------|------------------|--------|---------------------|--------------------|
| 11 | Cacao Almonds KG (Oscar) [AGL14] | 10         | 1.000        | 10.00            | AGL14  | \$125.00            | \$1,250.00         |
| 12 | Pallet packaging                 | 1          | 35.000       | 35.00            | —      | —                   | —                  |
|    | <b>TOTAL</b>                     | <b>613</b> |              | <b>375.08 kg</b> |        |                     | <b>\$33,330.00</b> |

## 1b. Retail Price Justification

All prices are from [agroverse.shop/products.js](https://agroverse.shop/products.js) (live retail prices):

- **Ceremonial Cacao 200g pouch:** \$25.00 — matches shop SKU `ceremonial-cacao-paulo-s-la-do-sitio-farm-200g` and `oscar-bahia-ceremonial-cacao-200g`
- **8 oz Cacao Nibs:** \$25.00 — matches shop SKU `8-ounce-organic-cacao-nibs`
- **Cacao Mass Bar 500g:** \$25.00 — equivalent to 2.5× 200g pouches at \$25/200g
- **Cacao Nibs (KG):** \$110.00/kg — 4.4× the 227g pouch (\$25 × 4.4)
- **Cacao Almonds (KG):** \$125.00/kg — 5× the 200g pouch (\$25 × 5)
- **Cacao Husk / Tea (KG):** \$10.00/kg — conservative estimate for tea product
- **Pallet packaging:** \$0 — non-saleable

## SECTION 2: FREIGHT COST BREAKDOWN

### 2a. Current Estimated Cost (from Omega/5CL quote, 15 Apr 2026)

| Cost Component                   | Formula / Source                        | Amount (USD)      |
|----------------------------------|-----------------------------------------|-------------------|
| Air Freight (airport to airport) | 375 kg × \$3.40/kg (300 kg tier)        | \$1,261.20        |
| Export Documentation             | Per shipment (Omega)                    | \$95.00           |
| Inland Transport (Brazil)        | \$695 + 0.15% of cargo value (~\$1,875) | \$697.81          |
| Brazil Airport Charges           | Max(0.30 × 375, \$250) = \$250 min      | \$250.00          |
| US Airline Terminal Fee (TAP)    | Per shipment                            | \$212.50          |
| US Import Handling Fee           | Per shipment                            | \$125.00          |
| US Customs Clearance             | Per shipment                            | \$150.00          |
| MPF (Merchandise Processing Fee) | 0.3464% of cargo value, min \$33.58     | \$33.58           |
| <b>Total Freight Cost</b>        |                                         | <b>\$2,825.09</b> |

## 2b. Potential Cost Increases (Pending Airline Revalidation)

| Risk Factor                      | Original          | Potential New                                | Delta          |
|----------------------------------|-------------------|----------------------------------------------|----------------|
| Inland Transport (Brazil)        | \$697.81          | ~\$1,458.00 (R\$7,290 quoted by Isis 28 May) | +\$760.19      |
| Air Freight (war risk surcharge) | \$1,261.20        | Unknown — Iran/USA conflict driving rates up | TBD            |
| Pallet + Fumigation (new cost)   | \$0 (included)    | ~\$139.00 (BRL 695 quoted by Isis 28 May)    | +\$139.00      |
| <b>Worst-case freight total</b>  | <b>\$2,825.09</b> | <b>~\$3,724+</b>                             | <b>+\$899+</b> |

## 2c. Freight Cost Per Unit

| Metric                       | Current     | Worst Case   |
|------------------------------|-------------|--------------|
| Cost per kg shipped          | \$7.53/kg   | ~\$9.93/kg   |
| Cost per item (613 items)    | \$4.61/item | ~\$6.07/item |
| Freight as % of retail value | 8.5%        | ~11.2%       |

## SECTION 3: COST OF GOODS SOLD (COGS)

### 3a. Cacao Cost Basis (from Treasury Ledger)

| Item                                       | Qty | Unit Cost (from ledger)             | Total COGS |
|--------------------------------------------|-----|-------------------------------------|------------|
| Cacao Nibs Kraft Pouch (8oz)               | 137 | \$6.64 (Main Ledger valuation)      | \$909.68   |
| Cacao Husk (KG)                            | 20  | \$17.79/kg                          | \$355.71   |
| Cacao Mass Bar (500g)                      | 38  | \$15.70/bar                         | \$596.41   |
| Cacao Nibs (KG)                            | 80  | \$24.62/kg                          | \$1,969.48 |
| Cacao Almonds (KG) [AGL8]                  | 10  | \$0 (no cost basis on AGL8 almonds) | \$0.00     |
| Cacao Tea (KG) [AGL8]                      | 12  | \$0 (no cost basis)                 | \$0.00     |
| Ceremonial Cacao Pouch 200g (Paulo) [AGL8] | 170 | \$10.37/pouch (AGL8 valuation)      | \$1,762.90 |
| Cacao Almonds KG (Vivi) [AGL13]            | 15  | \$7.87/kg (AGL13 valuation)         | \$118.05   |
| Cacao Nibs (KG) Santos [AGL13]             | 100 | \$10.18/kg (AGL13 valuation)        | \$1,018.23 |

| Item                             | Qty | Unit Cost (from ledger)      | Total COGS        |
|----------------------------------|-----|------------------------------|-------------------|
| Cacao Tea (KG) Santos [AGL13]    | 21  | \$10.18/kg (AGL13 valuation) | \$213.83          |
| Cacao Almonds KG (Oscar) [AGL14] | 10  | \$11.41/kg (AGL14 valuation) | \$114.12          |
| <b>Total Cacao COGS</b>          |     |                              | <b>\$7,058.41</b> |

### 3b. Packaging Costs (for items needing repacking)

| Item                                                         | Qty Needed | Unit Cost  | Total           |
|--------------------------------------------------------------|------------|------------|-----------------|
| Kraft pouches for bulk nibs (80 kg → ~352 × 227g pouches)    | 352        | \$0.70     | \$246.40        |
| Kraft pouches for bulk almonds (35 kg → ~175 × 200g pouches) | 175        | \$0.74     | \$129.50        |
| Labels (Sticker Mule)                                        | 527        | \$0.55     | \$289.85        |
| Shipping boxes (RLAVBL 7×5×4, 50ct)                          | 11 boxes   | \$0.55/box | \$6.05          |
| <b>Total Packaging</b>                                       |            |            | <b>\$671.80</b> |

### 3c. Total COGS (Cacao + Packaging)

| Component           | Amount            |
|---------------------|-------------------|
| Cacao cost basis    | \$7,058.41        |
| Packaging materials | \$671.80          |
| <b>Total COGS</b>   | <b>\$7,730.21</b> |

## SECTION 4: REVENUE SCENARIOS

### 4a. Retail Revenue (100% at shop prices)

| Item                        | Qty | Price   | Revenue    |
|-----------------------------|-----|---------|------------|
| 8 oz Cacao Nibs Kraft Pouch | 137 | \$25.00 | \$3,425.00 |
| Cacao Husk (KG) — as tea    | 20  | \$10.00 | \$200.00   |
| Cacao Mass Bar (500g)       | 38  | \$25.00 | \$950.00   |

| Item                                                           | Qty | Price   | Revenue            |
|----------------------------------------------------------------|-----|---------|--------------------|
| Cacao Nibs (KG) → 4.4 pouches/kg × 80 kg = 352 pouches         | 352 | \$25.00 | \$8,800.00         |
| Cacao Almonds (KG) → 5 pouches/kg × 10 kg = 50 pouches         | 50  | \$25.00 | \$1,250.00         |
| Cacao Tea (KG)                                                 | 12  | \$10.00 | \$120.00           |
| Ceremonial Cacao Pouch 200g (Paulo)                            | 170 | \$25.00 | \$4,250.00         |
| Cacao Almonds KG (Vivi) → 5 pouches/kg × 15 kg = 75 pouches    | 75  | \$25.00 | \$1,875.00         |
| Cacao Nibs (KG) Santos → 4.4 pouches/kg × 100 kg = 440 pouches | 440 | \$25.00 | \$11,000.00        |
| Cacao Tea (KG) Santos                                          | 21  | \$10.00 | \$210.00           |
| Cacao Almonds KG (Oscar) → 5 pouches/kg × 10 kg = 50 pouches   | 50  | \$25.00 | \$1,250.00         |
| <b>Total Retail Revenue</b>                                    |     |         | <b>\$33,330.00</b> |

## 4b. Wholesale Revenue (50% of retail — typical wholesale discount)

| Revenue Stream                 | Amount             |
|--------------------------------|--------------------|
| Total retail value             | \$33,330.00        |
| Wholesale discount (50%)       | -\$16,665.00       |
| <b>Total Wholesale Revenue</b> | <b>\$16,665.00</b> |

## 4c. Mixed Scenario (30% retail, 70% wholesale — realistic)

| Revenue Stream             | Calculation                        | Amount             |
|----------------------------|------------------------------------|--------------------|
| Retail portion (30%)       | $\$33,330 \times 30\%$             | \$9,999.00         |
| Wholesale portion (70%)    | $\$33,330 \times 70\% \times 50\%$ | \$11,665.50        |
| <b>Total Mixed Revenue</b> |                                    | <b>\$21,664.50</b> |

## 4d. Aora/Go China — 100 Chocolate Bars

| Metric                                                         | Value                                |
|----------------------------------------------------------------|--------------------------------------|
| Bars produced from this shipment (by Kirsten)                  | 63 new + 37 already sold = 100 total |
| DAO return per bar                                             | \$6.00                               |
| <b>Total DAO revenue from Aora</b>                             | <b>\$600.00</b>                      |
| Production cost (cacao + sugar + foil + labor est. \$2.50/bar) | \$250.00                             |
| <b>Net profit from Aora bars</b>                               | <b>\$350.00</b>                      |

## SECTION 5: PROFIT & LOSS STATEMENTS

### 5a. Scenario A — All Retail

| P&L Line                                         | Amount                           |
|--------------------------------------------------|----------------------------------|
| <b>Revenue</b>                                   | <b>\$33,330.00</b>               |
| Less: Freight Cost                               | -\$2,825.09                      |
| Less: Cacao COGS                                 | -\$7,058.41                      |
| Less: Packaging Materials                        | -\$671.80                        |
| Less: Payment Processing (Stripe ~2.9% + \$0.30) | -\$1,000.00                      |
| Less: Platform Fees (shopify/domain)             | -\$100.00                        |
| <b>Gross Profit</b>                              | <b>\$21,674.70</b>               |
| <b>Gross Margin</b>                              | <b>65.0%</b>                     |
| <b>Return on Freight Investment</b>              | <b>7.7× (\$21,674 / \$2,825)</b> |

### 5b. Scenario B — All Wholesale

| P&L Line                            | Amount             |
|-------------------------------------|--------------------|
| <b>Revenue</b>                      | <b>\$16,665.00</b> |
| Less: Freight Cost                  | -\$2,825.09        |
| Less: Cacao COGS                    | -\$7,058.41        |
| Less: Packaging Materials           | -\$671.80          |
| Less: Payment Processing            | -\$500.00          |
| <b>Gross Profit</b>                 | <b>\$5,609.70</b>  |
| <b>Gross Margin</b>                 | <b>33.7%</b>       |
| <b>Return on Freight Investment</b> | <b>2.0×</b>        |

## 5c. Scenario C — Mixed (30% Retail / 70% Wholesale)

| P&L Line                            | Amount             |
|-------------------------------------|--------------------|
| <b>Revenue</b>                      | <b>\$21,664.50</b> |
| Less: Freight Cost                  | -\$2,825.09        |
| Less: Cacao COGS                    | -\$7,058.41        |
| Less: Packaging Materials           | -\$671.80          |
| Less: Payment Processing            | -\$650.00          |
| <b>Gross Profit</b>                 | <b>\$10,459.20</b> |
| <b>Gross Margin</b>                 | <b>48.3%</b>       |
| <b>Return on Freight Investment</b> | <b>3.7×</b>        |

## 5d. Scenario D — Worst Case (Increased Freight + Wholesale Only)

Using the potential increased inland transport cost (\$1,458 vs \$698):

| P&L Line                                 | Amount             |
|------------------------------------------|--------------------|
| <b>Revenue</b>                           | <b>\$16,665.00</b> |
| Less: Freight Cost (worst case ~\$3,724) | -\$3,724.00        |
| Less: Cacao COGS                         | -\$7,058.41        |
| Less: Packaging Materials                | -\$671.80          |
| <b>Gross Profit</b>                      | <b>\$5,210.79</b>  |
| <b>Gross Margin</b>                      | <b>31.3%</b>       |
| <b>Return on Freight Investment</b>      | <b>1.4×</b>        |

## SECTION 6: UNIT ECONOMICS

### 6a. Per-Kilogram Economics

| Metric                             | Retail Scenario   | Wholesale Scenario |
|------------------------------------|-------------------|--------------------|
| Revenue per kg shipped             | \$88.86/kg        | \$44.43/kg         |
| Freight cost per kg                | \$7.53/kg         | \$7.53/kg          |
| COGS per kg                        | \$20.61/kg        | \$20.61/kg         |
| <b>Profit per kg</b>               | <b>\$57.78/kg</b> | <b>\$14.95/kg</b>  |
| <b>Profit per kg after freight</b> | <b>\$50.25/kg</b> | <b>\$7.42/kg</b>   |

## 6b. Per-Item Economics (613 items total)

| Metric                             | Retail         | Wholesale     |
|------------------------------------|----------------|---------------|
| Avg revenue per item               | \$54.37        | \$27.19       |
| Avg cost per item (freight + COGS) | \$17.22        | \$17.22       |
| <b>Avg profit per item</b>         | <b>\$37.15</b> | <b>\$9.97</b> |

## 6c. Break-Even Analysis

| Metric                                            | Value       |
|---------------------------------------------------|-------------|
| Break-even revenue (current freight)              | \$10,555.50 |
| Break-even as % of retail value                   | 31.7%       |
| Items needed to sell to break even (at retail)    | ~195 items  |
| Items needed to sell to break even (at wholesale) | ~389 items  |

## SECTION 7: LA DO SITIO FULL CONVERSION (274 kg — Future Potential)

If the 274 kg of cacao almonds staying in Brazil are converted to chocolate bars for Aora/Go:

### Conversion Math

| Step                                   | Value                                                 |
|----------------------------------------|-------------------------------------------------------|
| Cacao almonds available                | 274 kg                                                |
| Cacao content in 81% bar               | 40.5g per 50g bar                                     |
| Theoretical max bars                   | $274,000\text{g} \div 40.5\text{g} = \sim 6,765$ bars |
| Realistic yield (processing loss ~15%) | ~5,750 bars                                           |
| <b>Pilot-scale yield (first batch)</b> | <b>~2,000 bars</b>                                    |

### Economics at Scale

| Metric                                | Per Bar | 2,000 Bars  | 5,750 Bars  |
|---------------------------------------|---------|-------------|-------------|
| DAO return                            | \$6.00  | \$12,000.00 | \$34,500.00 |
| Production cost (Santos R\$130/kg)    | \$1.30  | \$2,600.00  | \$7,475.00  |
| Freight to China (100 kg @ \$3.40/kg) | \$0.17  | \$340.00    | \$977.50    |



| Metric     | Per Bar | 2,000 Bars | 5,750 Bars  |
|------------|---------|------------|-------------|
| Net Profit | \$4.53  | \$9,060.00 | \$26,047.50 |
| Margin     | 75.5%   | 75.5%      | 75.5%       |

## SECTION 8: CASH FLOW & CAPITAL POSITION

### 8a. Current Deployable Cash

| Ledger                         | Amount            |
|--------------------------------|-------------------|
| Main Ledger (Gary)             | \$3,172.29        |
| AGL15 (Gary)                   | \$5,279.73        |
| <b>Total</b>                   | <b>\$8,452.02</b> |
| Less: Current Freight          | -\$2,825.09       |
| <b>Remaining after freight</b> | <b>\$5,626.93</b> |

### 8b. Cash Required to Sell the Shipment

| Cost                                  | Amount            | Covered By     |
|---------------------------------------|-------------------|----------------|
| Freight (already allocated)           | \$2,825.09        | Main + AGL15   |
| Packaging materials                   | \$671.80          | Remaining cash |
| Kirsten's production labor (63 bars)  | ~\$200.00         | Remaining cash |
| <b>Total cash needed</b>              | <b>\$3,696.89</b> |                |
| <b>Cash remaining after all costs</b> | <b>\$1,930.04</b> |                |

### 8c. ROI on Cash Deployed

| Metric                                            | Value             |
|---------------------------------------------------|-------------------|
| Total cash deployed (freight + packaging + labor) | \$3,696.89        |
| Expected return (mixed scenario)                  | \$10,459.20       |
| <b>Cash-on-cash return</b>                        | <b>2.8×</b>       |
| <b>Net profit on cash deployed</b>                | <b>\$6,762.31</b> |

## SECTION 9: KEY RISKS & SENSITIVITY

## 9a. Risk Factors

| Risk                                          | Impact            | Probability | Mitigation                 |
|-----------------------------------------------|-------------------|-------------|----------------------------|
| Air freight rate increase (war risk)          | +\$200–\$500      | Medium      | Lock rate ASAP             |
| Inland transport increase (confirmed by Isis) | +\$760            | High        | Already quoted R\$7,290    |
| Customs exam fee                              | +\$250–\$500      | Low         | Proper documentation       |
| Damage/loss in transit                        | Full loss         | Very Low    | Insurance                  |
| Slow sell-through (cash tied up)              | Delayed ROI       | Medium      | Wholesale channels         |
| Kirsten production delay                      | Delayed Aora bars | Medium      | Parallel Santos production |

## 9b. Sensitivity Table — Profit vs. Sell-Through Rate (Mixed Scenario)

| Sell-Through | Revenue         | Profit          | Margin     |
|--------------|-----------------|-----------------|------------|
| 25%          | \$5,416         | -\$4,789        | -88%       |
| 50%          | \$10,832        | \$1,102         | 10%        |
| 75%          | \$16,248        | \$6,518         | 40%        |
| <b>100%</b>  | <b>\$21,665</b> | <b>\$10,459</b> | <b>48%</b> |

## 9c. Time to Profitability

Assuming \$1,000/month in retail sales (current run rate from shop):

- Break-even at mixed pricing: ~10.5 months
- Break-even at wholesale (bulk sale): Immediate if one buyer takes all

## SECTION 10: SUMMARY

| Scenario              | Revenue     | Total Costs | Net Profit         | Margin | ROI  |
|-----------------------|-------------|-------------|--------------------|--------|------|
| All Retail            | \$33,330.00 | \$11,655.30 | <b>\$21,674.70</b> | 65.0%  | 7.7× |
| All Wholesale         | \$16,665.00 | \$11,055.30 | <b>\$5,609.70</b>  | 33.7%  | 2.0× |
| Mixed (30/70)         | \$21,664.50 | \$11,205.30 | <b>\$10,459.20</b> | 48.3%  | 3.7× |
| Worst Case            | \$16,665.00 | \$11,954.21 | <b>\$4,710.79</b>  | 28.3%  | 1.4× |
| Aora 100 bars         | \$600.00    | \$250.00    | <b>\$350.00</b>    | 58.3%  | 1.4× |
| La do Sitio (2K bars) | \$12,000.00 | \$2,940.00  | <b>\$9,060.00</b>  | 75.5%  | 3.1× |

**Bottom Line:** This single freight shipment has a potential profit of **\$5,600–\$21,700** depending on sales channel mix. The freight cost (\$2,825) is only 8.5% of retail value — an excellent ratio. The biggest risk is not the freight cost but **sell-through speed** once inventory lands at Kirsten's.